4.2 Candlestick Patterns in the Real World

Hammer and Hanging Man Candles

The hammer and hanging man candlestick patterns are visually identical, but they appear in different market contexts and carrying distinct implications for traders. Both patterns have small real bodies and long lower shadows, indicating significant intraday or intraperiod selling pressure that was ultimately absorbed by buyers. The primary difference between the two is the trend in which they appear. A hammer forms during a downtrend and signals potential bullish reversal, while the hanging man appears in an uptrend and suggests a potential bearish reversal. Despite their visual similarities, these patterns convey opposite market sentiments.

The psychology behind these patterns is driven by market participant behavior. In the case of the hammer, sellers initially dominate, pushing prices lower. However, by the close of the session, buyers step in and regain control, pushing prices back near or above the opening price, signaling that selling pressure is weakening. The hanging man, on the other hand, reflects a similar pattern, but in an uptrend. The presence of a long lower shadow shows that selling pressure is emerging, and even though buyers manage to bring the price back up, it hints that the uptrend may be losing steam. Traders must consider this psychological shift to assess the potential for reversal or continuation.

How to Identify Hammer and Hanging Man Candles:

- **Real body:** Both patterns have small real bodies, either bullish (white/green) or bearish (black/red).
- **Lower shadow:** The lower shadow is at least twice the length of the real body, indicating significant selling pressure during the session.
- **No or small upper shadow:** Ideally, there is little to no upper shadow in both patterns, although a small upper shadow may still be present.
- **Trend context:**
    - **Hammer:** Appears during a downtrend and signals a potential bullish reversal.
    - **Hanging man:** Appears during an uptrend and signals a potential bearish reversal.

Significance and Characteristics:

- **Trend reversal signal:** Both patterns suggest a possible reversal, but the market context determines the direction.

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High

Medium

Low

Continue »

Unit

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higher close) strengthens the reversal signal, while a bearish confirmation (e.g., a lower close) strengthens the hanging man signal.

- **Real body color:** Although a bullish real body enhances the hammer's signal and a bearish body enhances the hanging man's, both patterns can be valid regardless of body color.

Figure 4.2.1 displays the price movement of American Airlines Group Inc. (AAL), with a **bullish hammer** pattern highlighted within the rectangle. The hammer appears after a decline, signaling a potential reversal from a downtrend to an uptrend.

FIGURE 4.2.1 Hammer candlestick ends a decline

- **Structure:** The hammer is characterized by a small real body at the upper end of the price range, with a long lower shadow, which indicates that although sellers initially drove the price lower, buyers stepped in and pushed the price back up by the close. The long lower shadow reflects significant buying pressure as the market rejected lower prices.
- **Location:** The hammer forms at the bottom of a downtrend, which is essential for its classification as a bullish reversal pattern. The position and structure of the candle signal that selling momentum is weakening, and a potential reversal to the upside may be imminent.
- **Confirmation:** A bullish confirmation in the following candles would validate the reversal signal, making this hammer pattern more reliable for traders seeking long positions.

The bullish hammer pattern in this context suggests that buyers are starting to take control, and the downtrend may be reversing, providing a potential buying opportunity.

Differentiating Hammers from Hanging Man Patterns

- **Trend context:** The key distinction lies in their placement within the trend. The hammer forms after a downtrend, while the hanging man forms after an uptrend. Both patterns signal potential reversals but in opposite directions.
- **Market sentiment:** The hammer reflects buying pressure, as buyers drive the price back up after testing lower levels. The hanging man, however,

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Figure 4.2.2 displays the price movement of Britannia Industries Ltd. (BRITANNIA), highlighting the **hanging man** pattern within the rectangular box. The hanging man is a bearish reversal pattern that typically appears at the top of an uptrend, signaling that selling pressure may be increasing and a downward reversal could be imminent.

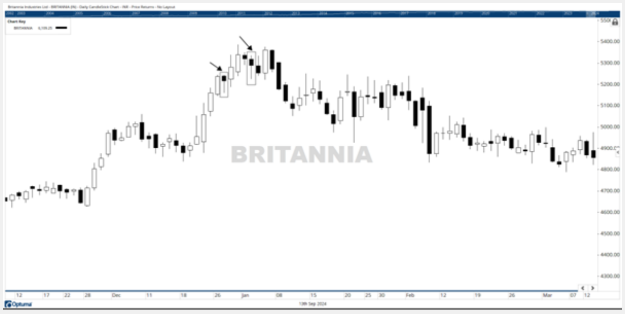

FIGURE 4.2.2 **Hanging man candlestick ends an uptrend**

- ***Structure****: The hanging man is characterized by a small real body located near the top of the price range and a long lower shadow, which suggests that sellers tried to push the price lower during the session but were eventually overpowered by buyers who brought the price back up by the close. However, the long lower shadow signals underlying selling pressure that may soon dominate.*
- ***Location****: This pattern appears after a strong upward trend, which is essential for the hanging man's significance as a potential bearish reversal signal.*
- ***Confirmation****: While the hanging man suggests a possible reversal, confirmation is needed in the form of a bearish candle following this pattern to validate the signal. Without confirmation, the reversal may not materialize.*

In this case, the hanging man at the top of the uptrend suggests that the bullish momentum may be weakening, and a reversal to the downside could follow if selling pressure increases in subsequent sessions.

Psychology Behind the Patterns:

- **Hammer:** The long lower shadow shows that sellers were initially in control, pushing prices lower. However, the buyers eventually regained control and drove the price back up near the open, signaling that the selling pressure may be weakening and a potential reversal could follow.
- **Hanging man:** In contrast, the hanging man reflects early signs of selling pressure during an uptrend. Sellers attempted to push prices lower, but buyers stepped in and regained control by the close. Despite this, the presence of strong selling suggests that the uptrend may be nearing exhaustion, especially if followed by a bearish confirmation candle.

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the current trend will persist or reverse. However, without confirmation, the signals from both patterns should be viewed with caution.

Influence of Volume on the Validity of Candlestick Patterns

Volume plays a crucial role in confirming the validity of candlestick patterns like the hammer and hanging man. It provides insight into the strength of market sentiment behind these patterns, enhancing their reliability as potential reversal signals. Here is how volume influences the interpretation of these patterns:

1. **Hammer:**
   - **High volume:** When a hammer forms with high volume, it suggests that buyers are stepping in aggressively after a period of selling pressure. The larger the volume, the stronger the indication that a reversal is likely, as the influx of buyers overwhelms the sellers.
   - **Low volume:** A hammer forming on low volume may indicate that the buying pressure is weak, and the reversal may not be sustainable. Without strong participation from buyers, the pattern could lead to a false signal, as the market lacks conviction to push prices higher.
2. **Hanging man:**
   - **High volume:** If a hanging man appears with high volume, it indicates significant selling pressure entering the market, even though the price remains near the open or closes slightly higher. This suggests that buyers are losing strength, and a bearish reversal is more likely.
   - **Low volume:** A hanging man formed with low volume may indicate that the selling pressure is not strong enough to cause a sustained reversal. The lack of volume reduces the confidence in the bearish signal, making the pattern less reliable.

Key Takeaway:

- **High volume** confirms the strength of the reversal pattern, making it more reliable.
- **Low volume** weakens the signal, increasing the likelihood of a false reversal.

In both cases, volume acts as a critical factor in validating the pattern, providing traders with a more complete picture of the market's strength and potential future direction.

The Shooting Star Pattern

The shooting star is a bearish reversal candlestick pattern that typically appears at the top of an uptrend. It signals a potential reversal in the market, where buyers initially push the price to new highs, but sellers gain control by the end of the session, driving the price back down. The shooting star is a single candlestick formation that often marks the end of bullish prices, which can serve as a warning sign for traders to consider exiting long positions or preparing for short opportunities.

This pattern is effective in identifying potential market tops, especially when confirmed by subsequent bearish price action. The shooting star pattern resembles an inverted "T," with a small real body located at the lower end of the price range and a long upper shadow that signifies a failed rally. Despite its simplicity, the shooting star is a powerful signal that highlights the shift in control from buyers to sellers, making it a valuable tool for traders looking to capitalize on reversals in market sentiment.

How to Identify a Shooting Star Pattern

1. **Location:** Appears after an uptrend, often marking the peak of the price move.
2. **Real body:** Small real body located near the bottom of the price range, which can be either bullish (white) or bearish (black).
3. **Upper shadow:** Long upper shadow, at least twice the size of the real body, reflecting the failed attempt to push the price higher.
4. **Lower shadow:** Little to no lower shadow, showing that the price didn't fall far below the opening level.
5. **Confirmation:** A bearish candle following the shooting star provides confirmation of the reversal.

Significance and Characteristics of the Shooting Star

- **Significance:** The shooting star is a warning sign of a potential trend reversal after an extended uptrend. It shows that although buyers tried to push the price higher, sellers gained control, indicating the weakening of the bullish momentum.

Key Characteristics of the Shooting Star:

- Appears at the top of an uptrend
- Small real body near the low of the price range
- Long upper shadow, signaling a rejection of higher prices
- Little to no lower shadow
- Confirmation from a bearish candle strengthens the reversal signal

Figure 4.2.3 displays the price movement of Franklin Resources, Inc. (BEN), with a **shooting star** pattern highlighted within the rectangle. The shooting star is a bearish reversal pattern that typically forms at the top of an uptrend, signaling that the buying pressure may be waning and sellers are beginning to dominate.

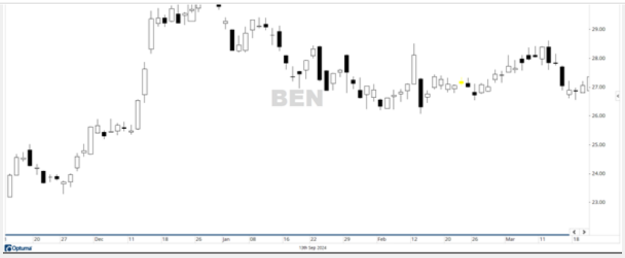

FIGURE 4.2.3 **Shooting star near the end of an uptrend**

- ***Structure:*** *The shooting star is characterized by a small real body near the lower end of the price range and a long upper shadow, indicating that buyers pushed the price higher during the session, but sellers regained control and pushed the price back down before the close. The long upper shadow reflects the failure of the bullish momentum to sustain, signaling potential weakness in the uptrend.*
- ***Location****: This pattern appears after a strong upward trend, which is crucial for its classification as a bearish reversal pattern. It indicates that the market may be reaching an exhaustion point, and a reversal to the downside could follow.*
- ***Confirmation****: While the shooting star suggests a potential reversal, confirmation is needed in the form of a bearish candle following this pattern to validate the signal. Without confirmation, the price may still continue upward.*

In this case, the shooting star pattern at the top of the uptrend signals that buying strength may be diminishing, and a reversal to the downside could be expected if the subsequent price action confirms the pattern.

Psychology Behind the Shooting Star

The psychology of the shooting star pattern reflects a market that is initially dominated by buyers but quickly overtaken by sellers. As the session begins, buyers are confident, pushing the price to new highs, which may create an illusion of continued bullish momentum. However, during the same session, sellers step in forcefully, driving the price down near the open, signaling that the upward movement may have lost steam. This failed rally and the inability to maintain higher prices shake the confidence of the bulls, while bears gain confidence, anticipating a reversal.

The long upper shadow in the shooting star reflects the failed attempt to reach and hold higher price levels, while the small body near the bottom signifies indecision and a potential shift in market control. The pattern reveals that sellers are beginning to overpower buyers, and the bulls are losing strength. For traders, the shooting star represents an opportunity to prepare for short positions or to exit long trades before the market reverses. The confirmation of a bearish candle after the shooting star reinforces the shift in sentiment and increases the likelihood of a downward price movement.

Influence of Volume on the Validity of the Shooting Star Pattern

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market sentiment behind the price action and helps determine the likelihood of a genuine reversal. Here's how volume impacts the shooting star pattern:

1. **High volume:**
   - When a shooting star forms on high volume, it indicates that the sellers' presence at the top of the uptrend is strong and widespread. This shows that the shift from buyers to sellers is backed by significant market participation, increasing the probability of a valid bearish reversal.
   - High volume emphasizes that the upward price movement was rejected decisively, making the pattern more reliable.
2. **Low volume:**
   - If the shooting star forms with low volume, it suggests that the selling pressure may not be strong enough to trigger a sustained reversal. The lack of significant volume behind the pattern weakens the signal, indicating that the shift in sentiment might be temporary or not widespread.
   - Low volume may lead to a false signal, where the market briefly pauses but does not fully reverse downward.

Key Takeaway:

- **High volume** confirms the strength of the shooting star and increases its reliability as a bearish reversal signal.
- **Low volume** weakens the pattern, raising the chances of a false reversal or continuation of the uptrend.

Spinning Top Pattern

The spinning top candlestick pattern is a neutral candlestick formation that reflects indecision in the market. It can appear in both uptrends and downtrends, and its shape indicates that neither buyers nor sellers have gained control. The small real body of the spinning top pattern signifies minimal price movement between the open and close, while the long upper and lower shadows indicate that both buyers and sellers pushed prices in opposite directions during the session. This battle between bulls and bears ultimately ends in a stalemate, with the price closing near the open.

While spinning tops alone do not predict a definitive market reversal or continuation, they serve as a signal that the current trend may be losing momentum. Traders use spinning tops as a sign of potential indecision in the market and often look for further confirmation from subsequent candlesticks or additional technical indicators. The pattern can indicate a pause in both bullish and bearish trends, highlighting a moment of equilibrium between buying and selling forces.

How to Identify a Spinning Top Pattern

2. **Real body:** Small real body, with the open and close prices very close together, indicating minimal price change.
3. **Upper and lower shadows:** Long upper and lower shadows, showing that the market experienced significant price movement in both directions during the session.
4. **Confirmation:** Spinning tops often require confirmation from subsequent candles or technical indicators to clarify whether the market will continue its trend or reverse.

Significance and Characteristics of the Spinning Top

- **Significance:** The spinning top pattern suggests that the market is at a point of indecision, where neither buyers nor sellers can assert control. It indicates a potential loss of momentum in the current trend but does not provide a strong reversal or continuation signal on its own.

Key Characteristics of the Spinning Top:

- Small real body, indicating a close match between the opening and closing prices
- Long upper and lower shadows, reflecting price volatility during the session
- Appears in both uptrends and downtrends, signaling indecision or a potential pause

Figure 4.2.4 displays the price movement of Escorts Kubota Ltd. (ESCORTS), with **spinning top** candlestick patterns highlighted within the rectangular boxes. Spinning tops are neutral candlestick patterns that often signal indecision or a potential pause in the current trend. They are characterized by small real bodies and long upper and lower shadows, indicating that both buyers and sellers had control at different points during the trading session but ultimately neither side dominated.

FIGURE 4.2.4 **Spinning top candlesticks**

- ***Structure:*** *Each spinning top has a small real body located near the middle of the price range, with shadows extending both above and below. This indicates that, although the price moved significantly in both directions, the session closed near the opening price, reflecting market indecision.*

an uptrend or downtrend, they often signal a potential reversal or at least a slowdown in momentum.

- ***Significance:*** *While spinning tops alone do not always lead to reversals, they suggest caution and the possibility of a change in market sentiment. Traders typically wait for further confirmation in the form of subsequent price action to determine whether the trend will reverse or continue.*

In this case, the presence of spinning tops at key points in the trend suggests a period of market indecision, signaling that the trend may either pause or reverse, depending on the follow-up candlestick patterns and overall market conditions.

Psychology Behind the Spinning Top

The psychology behind the spinning top pattern reflects a market in balance, where neither buyers nor sellers have enough strength to push prices decisively in one direction. Both bulls and bears are active during the session, as indicated by the long shadows, but neither side can maintain control by the close. This leads to a small real body, signifying that the session ended near the opening price, despite the wide range of price movement throughout the day.

The presence of spinning tops indicates that market participants are uncertain about the future direction of the trend. Bulls and bears are evenly matched, leading to a temporary standoff that often signals a pause or hesitation in the prevailing trend. However, the spinning top pattern does not, by itself, indicate whether the market will reverse or continue. Traders should look for additional signals or confirmation before making decisions, as the market could either resume its trend or change direction, depending on the subsequent price action.

Influence of Volume on the Validity of the Spinning Top

Volume plays an important role in determining the strength and reliability of the spinning top pattern, which reflects market indecision. Here's how volume impacts the interpretation of this pattern:

1. **High volume:**
    - When a spinning top pattern forms with high volume, it signals strong participation from both buyers and sellers. This reinforces the idea that neither side has gained control, leading to genuine market indecision. The presence of high volume makes it more likely that the current trend may be losing momentum, and a reversal or continuation could be imminent depending on subsequent price action.
    - High volume adds credibility to the pattern, as it reflects significant market activity despite the indecisive outcome.
2. **Low volume:**
    - A spinning top pattern formed with low volume suggests a lack of strong conviction from either buyers or sellers. The indecision reflected by the pattern may not be meaningful, and the

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- Low volume reduces the reliability of the pattern, as it may indicate that the price movement lacks sufficient participation to signal any significant shift in market sentiment.

Key Takeaway:

- **High volume** confirms the indecision in the market, indicating that both buyers and sellers are equally engaged, making the pattern more reliable.
- **Low volume** suggests weak market participation, reducing the pattern's significance and increasing the likelihood of continued market indecision or a false signal.

Dojis in Candlestick Analysis

Dojis are one of the most significant candlestick patterns in technical analysis because they represent indecision in the market. A doji forms when the opening and closing prices are almost identical, resulting in a small or nonexistent real body. This pattern indicates that neither buyers nor sellers could dominate the market during the trading session, which creates uncertainty about the market's future direction. The unique nature of the doji makes it a key tool for identifying potential turning points, as it reflects the balance between buying and selling pressures.

Significance of Dojis at Market Tops

At market tops, the appearance of a doji can signal that the bullish momentum is weakening, and buyers are losing control. The fact that the price failed to close significantly higher than its opening, despite testing higher levels, suggests that the uptrend may be running out of steam. When a doji forms at the peak of an uptrend, it indicates hesitation from buyers, and this uncertainty can often precede a reversal to the downside, especially if followed by a bearish confirmation candle. This makes dojis at market tops a key signal for traders to consider exiting long positions or preparing for potential short trades.

Significance of Dojis at Market Bottoms

Conversely, when a doji forms at the bottom of a downtrend, it suggests that the selling pressure may be exhausted, and sellers are losing control. The indecision reflected in the doji pattern signals that buyers are beginning to step in and challenge the downward momentum. This uncertainty can often lead to a reversal to the upside, particularly if followed by a bullish confirmation candle. Traders pay close attention to dojis at market bottoms, as they can indicate a potential buying opportunity when the market sentiment begins to shift in favor of buyers.

The importance of dojis in candlestick analysis lies in their ability to highlight moments of indecision, which are often key turning points in the market. Whether appearing at market tops or bottoms, dojis are significant because they signal the potential for trend reversals. Traders use these patterns, entering or exiting positions.

Distinct Characteristics of a Doji:

- A doji forms when the opening and closing prices are nearly identical, creating a small or nonexistent real body.
- It has long or short wicks (shadows) extending from both sides, depending on the type of doji.
- Dojis represent indecision in the market, where neither buyers nor sellers have gained control.
- They often signal potential reversals, especially when they appear at the top or bottom of a trend.
- The length of the upper and lower shadows provides clues about the session's price volatility.
- Dojis require confirmation from subsequent candles or technical indicators to validate their significance.
- They can appear in any market condition — uptrend, downtrend, or consolidation.
- Doji patterns can be bullish, bearish, or neutral depending on their position within the trend and the subsequent price action.

Influence of Volume on the Validity of a Doji

Volume is an important factor in assessing the validity of a doji, as it provides insight into the strength of market indecision and the potential for a reversal or continuation. Here's how volume influences the standard doji:

1. **High volume:**
    - When a doji forms with high volume, it indicates strong market participation from both buyers and sellers, reinforcing the indecision and the struggle between the two sides. This strengthens the pattern's significance, making a potential reversal or trend exhaustion more likely.
    - High volume shows that many market participants are involved, but they are evenly matched, creating greater confidence that a significant move may follow the doji.
2. **Low volume:**
    - A doji formed with low volume suggests weaker market participation, reducing the likelihood of a major trend reversal. The indecision reflected in the pattern may not carry enough weight to result in a meaningful shift in market direction.
    - Low volume weakens the validity of the doji, indicating that the market's indecision could be temporary, and the current trend may continue without any significant change.

Key Takeaway:

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B. **Low volume** diminishes the importance of the pattern, signaling that the indecision may not result in a significant shift in market direction.

Introduction to Standard Doji

The standard doji is one of the most recognizable candlestick patterns in technical analysis, characterized by its small or nonexistent real body, where the opening and closing prices are nearly identical. This pattern indicates indecision in the market, as neither buyers nor sellers are able to push the price significantly in one direction. The doji is a neutral pattern and often signals that a potential reversal or consolidation may be on the horizon, especially when it forms after a strong uptrend or downtrend. Traders view the standard doji as a sign that the current trend could be losing momentum, and they often look for confirmation from subsequent price action before making decisions.

While the standard doji by itself does not guarantee a trend reversal, it becomes more significant when found in key market areas, such as support or resistance levels. Its primary value lies in highlighting a balance between buying and selling forces, reflecting uncertainty or hesitation among market participants. For this reason, the doji is often used as a warning sign that the current trend may be nearing exhaustion, prompting traders to reevaluate their positions.

How to Identify a Standard Doji

1. **Real body:** The defining characteristic of a standard doji is its small or nonexistent real body, where the open and close prices are nearly identical.
2. **Upper and lower shadows:** The pattern typically has shadows (wicks) on both ends, representing price movement during the session, although these shadows may vary in length.
3. **Location in the trend:** The standard doji can appear in any part of the trend, but its significance increases when it occurs at the top of an uptrend or the bottom of a downtrend.
4. **Confirmation:** Confirmation from the next candlestick is essential to determine whether the doji signals a reversal or continuation of the trend.

Significance and Characteristics of the Standard Doji

- **Significance:** The standard doji signals indecision in the market, suggesting that the existing trend may be losing strength. It is often a precursor to a reversal or consolidation, especially when followed by confirmation from subsequent price action.

Key Characteristics of the Standard Doji:

- The open and close prices are almost identical.
- Shadows (wicks) of varying lengths extend from both ends of the candlestick.

Figure 4.2.5 displays the price movement of Indus Towers Ltd. (INDUSTOWER), highlighting several **standard doji** candlestick patterns within the rectangular boxes. A standard doji is a neutral candlestick pattern characterized by having little to no real body, with the opening and closing prices being nearly identical. The doji indicates market indecision, as neither buyers nor sellers were able to gain control during the session.

FFIGURE 4.2.5 Standard doji candlesticks

- ***Structure:*** *The standard doji has a small or nonexistent body with relatively long upper and lower shadows, showing that while prices fluctuated during the session, they ultimately closed near the open. This balance between buying and selling pressure reflects indecision in the market.*
- ***Location and significance:*** *When dojis appear after a strong trend — whether upward or downward — they can signal a potential reversal or a pause in momentum. However, dojis are also commonly seen during sideways or consolidating markets, as represented in the chart, where they reflect continued indecision and a lack of clear direction.*
- ***Confirmation:*** *The appearance of a doji does not guarantee a reversal, but when combined with subsequent price action (e.g., a strong bullish or bearish move), the doji can provide an important clue to future price direction.*

In this case, the presence of multiple dojis in the trend suggests periods of market hesitation, and traders would typically wait for confirmation from the following candles to determine the next move. These patterns reflect potential reversals or pauses in the ongoing trend, depending on the market context.

Psychology Behind the Standard Doji

The psychology behind the standard doji reflects a market in balance, where neither buyers nor sellers can maintain control. During the session, both sides actively push the price, leading to price fluctuations reflected in the wicks of the doji. However, by the end of the session, the market closes near the opening price, signaling that neither side could establish dominance. This results in uncertainty or hesitation, suggesting that market participants are unsure of the future direction of the trend.

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indicates that sellers are struggling to drive prices lower. In both cases, traders view the doji as a moment of indecision and often wait for the next candle to confirm whether the market will reverse or continue in its previous direction.

Dragonfly Doji and Gravestone Doji Candles

The dragonfly doji and gravestone doji are two specific types of doji candlesticks that indicate market indecision but have very different implications based on their position and appearance. Both patterns form when the opening and closing prices are almost identical, but the shape of each reveals whether the market experienced buying or selling pressure during the session. The dragonfly doji typically appears after a downtrend and signals a potential bullish reversal, while the gravestone doji appears after an uptrend and indicates a possible bearish reversal. Despite their structural similarities, their significance differs based on their formation within the trend.

While both candlesticks suggest that the market is at a turning point, the dragonfly doji reflects buyer strength following an initial sell-off, leading to the possibility of an upward price reversal. On the other hand, the gravestone doji represents failed attempts by buyers to maintain higher prices, signaling that sellers may take control. Understanding the psychological dynamics behind these patterns allows traders to make informed decisions when these patterns emerge at key points in a trend.

How to Identify Dragonfly Doji and Gravestone Doji Candles

1. **Dragonfly doji:**
   - **Location:** Typically appears after a downtrend.
   - **Structure:** The open, close, and high prices are nearly the same, creating a long lower shadow and little or no upper shadow.
   - **Confirmation:** A bullish candle following the dragonfly doji confirms a potential reversal to the upside.
2. **Gravestone doji:**
   - **Location:** Typically appears after an uptrend.
   - **Structure:** The open, close, and low prices are nearly the same, resulting in a long upper shadow and little or no lower shadow.
   - **Confirmation:** A bearish candle after the gravestone doji confirms a potential reversal to the downside.

Differences Between Dragonfly Doji and Gravestone Doji

- **Trend context:** The dragonfly doji appears after a downtrend, signaling a potential bullish reversal, while the gravestone doji appears after an uptrend, signaling a potential bearish reversal.
- **Shadow length:** The dragonfly doji has a long lower shadow, indicating initial selling pressure, while the gravestone doji has a long upper shadow, showing initial buying pressure that was later overpowered by sellers.

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Significance and Characteristics of Dragonfly Doji and Gravestone Doji

- **Dragonfly doji:**
  - **Significance:** Signals that sellers initially dominated the session, but buyers stepped in and pushed the price back to the open, suggesting a bullish reversal may be imminent.
  - **Key characteristics:** Appears at the bottom of a downtrend, long lower shadow, and little to no upper shadow, with the open and close near the high of the session.
- **Gravestone doji:**
  - **Significance:** Indicates that buyers initially pushed the price higher, but sellers took control and drove the price back down to the open, suggesting a bearish reversal could follow.
  - **Key characteristics:** Appears at the top of an uptrend, long upper shadow, and little to no lower shadow, with the open and close near the low of the session.

Figure 4.2.6 displays the price movement of Accenture plc (ACN), with a **dragonfly doji** candlestick pattern highlighted in the rectangular box. The dragonfly doji is a bullish reversal pattern that typically forms at the bottom of a downtrend and signals a potential shift in market sentiment from bearish to bullish.

FIGURE 4.2.6 **Dragonfly doji ends a downtrend**

- ***Structure:*** *The dragonfly doji has a long lower shadow and almost no upper shadow, with the opening and closing prices occurring near the high of the session. This structure indicates that while sellers pushed the price significantly lower during the session, buyers stepped in with enough strength to bring the price back up to close at or near the opening level, signaling a potential shift in sentiment.*
- ***Location and significance:*** *The dragonfly doji appears at the end of a downtrend, which increases its relevance as a bullish reversal pattern. This particular candlestick suggests that sellers are losing control and that buying pressure may be ready to take over.*

higher to validate the shift in market sentiment and confirm the reversal.

In this instance, the dragonfly doji at the bottom of the downtrend reflects strong buying interest at lower levels, indicating that the downward momentum may be losing steam and a bullish reversal is likely to follow.

Figure 4.2.7 displays the price movement of ICICI Bank Ltd. (ICICIBANK), with a **gravestone doji** candlestick pattern highlighted in the rectangular box. The gravestone doji is a bearish reversal pattern that typically appears at the top of an uptrend, signaling that the upward momentum may be weakening, and a potential reversal to the downside is imminent.

FIGURE 4.2.7 **Gravestone doji near the top of an uptrend**

- ***Structure:*** *The gravestone doji has a long upper shadow and little to no lower shadow, with the opening and closing prices occurring near the low of the session. This structure shows that buyers pushed the price higher during the session, but sellers stepped in and drove the price back down to close near the open, reflecting a shift in market sentiment.*
- ***Location and significance:*** *The gravestone doji forms at the top of an uptrend, which increases its significance as a potential bearish reversal signal. It indicates that buyers were unable to maintain control, and sellers are starting to dominate the market.*
- ***Confirmation:*** *As with all doji patterns, confirmation is essential. Traders typically wait for the next candle to be bearish and close lower to confirm the reversal suggested by the gravestone doji.*

In this case, the gravestone doji pattern at the top of the uptrend suggests that the buying pressure is fading, and a bearish reversal could follow if the subsequent price action confirms the signal. This doji reflects the weakening of the bullish momentum, providing an early warning of a potential trend change.

Psychology Behind the Dragonfly Doji and Gravestone Doji

- **Dragonfly doji:** The long lower shadow in the dragonfly doji reflects significant selling pressure at the beginning of the session, but as the session progressed, buyers regained control and pushed the price back up to near the open. This shift indicates that selling pressure has

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buyers, leading to a potential bullish reversal.

- **Gravestone doji:** In contrast, the gravestone doji shows that buyers initially drove the price higher during the session, but sellers eventually overpowered them, pushing the price back down to near the open. The long upper shadow signals a failed attempt to sustain higher prices, indicating that the uptrend may be running out of steam. This loss of buying strength and the presence of sellers ready to step in often foreshadows a bearish reversal.

In both patterns, the struggle between buyers and sellers is clearly visible through the structure of the doji, but their placement within the trend and the direction of the shadows help traders understand which side is likely to prevail. These patterns are most effective when followed by confirmation from subsequent price action.

Long-Legged Doji Candles

The long-legged doji is a candlestick pattern that represents extreme indecision in the market. It is characterized by long upper and lower shadows, which indicate that prices fluctuated significantly during the session, but neither buyers nor sellers could maintain control by the close. As a result, the open and close prices are nearly identical, forming a small or nonexistent real body. The long-legged doji can appear at the top of an uptrend, the bottom of a downtrend, or within a sideways market, signaling that the existing trend may be losing strength.

This pattern serves as a warning that market participants are uncertain about the future direction of the trend. In an uptrend, it can suggest that the buying momentum is weakening, while in a downtrend, it may indicate that sellers are losing control. However, the long-legged doji itself does not confirm a reversal; it highlights indecision and typically requires confirmation from subsequent price action to determine whether the market will reverse or continue in its current direction.

How to Identify a Long-Legged Doji

1. **Real body:** The open and close prices are nearly identical, resulting in a small or nonexistent real body.
2. **Upper and lower shadows:** Long upper and lower shadows that indicate significant price movement in both directions during the session.
3. **Location in trend:** The long-legged doji can appear in any part of a trend — uptrend, downtrend, or consolidation — but is particularly significant when it forms after a strong directional move.
4. **Confirmation:** As with other doji patterns, confirmation from the following candle is essential to determine the market's next move.

Significance and Characteristics of the Long-Legged Doji

- **Significance:** The long-legged doji is a powerful signal of market indecision, reflecting a balance between buyers and sellers. When it appears after a prolonged

Key Characteristics of the Long-Legged Doji:

- Small or nonexistent real body with nearly equal open and close prices
- Long upper and lower shadows, reflecting significant price movement during the session
- Represents indecision and uncertainty among market participants, indicating potential trend exhaustion

Figure 4.2.8 displays the price movement of Apple Inc. (AAPL), with a **long-legged doji** candlestick pattern highlighted in the rectangular box. The long-legged doji is a neutral candlestick pattern that often signals indecision in the market, as both buyers and sellers pushed the price significantly in both directions during the session, but neither side was able to gain control by the close.

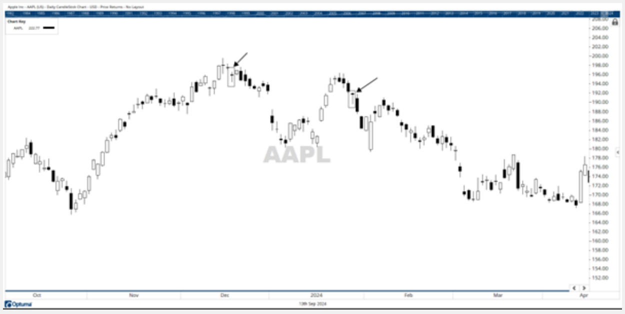

FIGURE 4.2.8 **Long-legged dojis**

- ***Structure:*** *The long-legged doji has very long upper and lower shadows, with the opening and closing prices near the middle of the price range. This structure reflects significant price volatility during the session, with both buyers and sellers making attempts to control the market but ultimately ending in a stalemate.*
- ***Location and significance:*** *When a long-legged doji appears at the top of an uptrend, as seen in this chart, it signals potential indecision among market participants and could indicate a possible reversal or at least a pause in the uptrend. If the pattern appears after a downtrend, it may suggest a bullish reversal. However, in both cases, confirmation from the following candles is crucial.*
- ***Confirmation:*** *The long-legged doji itself is neutral, so traders typically look for the next candle to provide confirmation. A bearish candle following the doji would confirm the possibility of a downward reversal, while a bullish candle could indicate the continuation of the upward trend.*

In this case, the long-legged doji at the top of the uptrend suggests indecision among traders, signaling that the upward momentum may be weakening, and a potential reversal or consolidation could follow depending on subsequent price action.

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market volatility and a tug-of-war between buyers and sellers. During the session, prices fluctuate widely, with both sides attempting to gain control. The long shadows reflect this price movement in both directions, but by the end of the session, neither side has won, as the price closes near its opening level. This pattern shows that both bulls and bears are uncertain about the market's future direction, leading to a stalemate.

In an uptrend, the long-legged doji suggests that buyers are struggling to push prices higher and may be losing momentum, while in a downtrend, it indicates that sellers are finding it difficult to continue driving prices lower. The pattern warns traders that the trend could be nearing exhaustion, but further confirmation from subsequent price action is required to validate a potential reversal or continuation. The long-legged doji highlights a critical moment of indecision in the market, offering traders the opportunity to reassess their positions.

Major Differences Between Doji Patterns

1. **Standard doji:**
    - **Structure:** The open and close prices are nearly identical, forming a small or nonexistent real body. It has wicks of roughly equal length on both sides, signaling indecision.
    - **Market sentiment:** Indicates a balance between buyers and sellers, suggesting market uncertainty and potential reversal or consolidation.
2. **Long-legged doji:**
    - **Structure:** Similar to the standard doji, but with significantly longer upper and lower shadows, showing greater price movement during the session.
    - **Market sentiment:** Reflects heightened indecision, with strong volatility as both buyers and sellers tried to gain control, but neither succeeded. This often signals a stronger potential reversal than the standard doji.
3. **Gravestone doji:**
    - **Structure:** The open, close, and low prices are almost the same, with a long upper shadow and little or no lower shadow, creating a shape that resembles a gravestone.
    - **Market sentiment:** Typically appears at the top of an uptrend and signals a bearish reversal. It indicates that buyers initially pushed the price higher, but sellers took control by the end of the session, driving the price back down.
4. **Dragonfly doji:**
    - **Structure:** The open, close, and high prices are nearly identical, with a long lower shadow and little or no upper shadow, creating a shape like a dragonfly.
    - **Market sentiment:** Often found at the bottom of a downtrend and signals a bullish reversal. It shows that sellers initially drove the price

Key Differences Between Doji Patterns:

- **Upper and lower shadows:** The length and position of the shadows distinguish each doji. The gravestone doji has a long upper shadow, while the dragonfly doji has a long lower shadow. The long-legged doji has long shadows on both sides.
- **Market context:** While the standard and long-legged dojis can signal indecision in any part of a trend, the gravestone doji usually signals a bearish reversal at the top of an uptrend, and the dragonfly doji signals a bullish reversal at the bottom of a downtrend.
- **Sentiment:** Gravestone and dragonfly dojis are more directional in nature, while the standard and long-legged dojis primarily reflect market indecision.

Why Many Dojis Lose Significance

Dojis lose their significance when there are many of them clustered together, because their primary strength lies in signaling indecision or a potential reversal in the market. When a single doji appears after a clear trend, it highlights a moment of hesitation, signaling that the current trend may be losing momentum. However, when multiple dojis appear consecutively, it creates a pattern of persistent indecision, often reflecting a market that is consolidating or trading within a narrow range. In such cases, the individual significance of each doji diminishes, as the market has not yet resolved the battle between buyers and sellers.

The value of a doji lies in its rarity and the sudden shift it represents in a trending market. When dojis are scattered across multiple sessions, they lose their impact because they no longer indicate a decisive moment where one side has failed to dominate. Instead, they reflect ongoing uncertainty without a clear resolution. In these cases, traders may need to wait for a stronger signal, such as a breakout or breakdown from the consolidation, to confirm the market's next direction.

Multiple dojis in a row typically signal a market that is "stuck" in indecision, where both bulls and bears are waiting for external factors to trigger the next move. This prolonged indecision means the doji's typical message of a potential reversal is diluted, and traders are less likely to act on it without additional confirmation.

Two-Candle Patterns in Candlestick Charting

Two-candle patterns are an essential part of candlestick charting, offering more detailed insights into potential market reversals or continuations than single-candle patterns. By analyzing the interaction between two consecutive candlesticks, traders can better gauge shifts in market sentiment and spot early signs of trend changes. These patterns often combine a bullish or bearish candle with a contrasting second candle, providing a clearer picture of the ongoing battle between buyers and sellers. Popular two-candle patterns, such as bullish engulfing, bearish engulfing, piercing line, and dark

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The significance of two-candle patterns lies in the relationship between the two candles, where the second candle often signals a decisive shift in market control. While single-candle patterns highlight moments of indecision or brief hesitation, two-candle patterns provide a stronger indication of where the market might be headed next. Traders frequently rely on these patterns, especially when they occur at key support or resistance levels, as they can offer reliable signals for entry or exit points.

Bullish Engulfing and Bearish Engulfing Patterns

The bullish engulfing and bearish engulfing patterns are two-candle reversal patterns that signal a potential shift in market sentiment. The bullish engulfing pattern occurs at the bottom of a downtrend and signals a potential bullish reversal, while the bearish engulfing pattern appears at the top of an uptrend and suggests a bearish reversal. Both patterns are characterized by the second candle fully engulfing the real body of the first candle, representing a strong shift in momentum. Although they share a similar structure, these patterns have opposite implications, and their significance lies in their ability to highlight moments where the balance of power between buyers and sellers changes decisively.

In the bullish engulfing pattern, the market opens lower but closes higher than the previous candle, indicating that buyers have taken control after a period of selling. Conversely, the bearish engulfing pattern reflects the opposite, where sellers overwhelm buyers after an uptrend, signaling that the bulls are losing strength. Both patterns are important indicators of potential trend reversals, but they must be confirmed by subsequent price action to ensure that the shift in sentiment is sustainable.

How to Identify Bullish Engulfing and Bearish Engulfing Patterns

1. **Bullish engulfing:**
    - **Location:** Appears at the bottom of a downtrend.
    - **First candle:** A small bearish candle with a short real body.
    - **Second candle:** A larger bullish candle that completely engulfs the body of the first bearish candle.
    - **Confirmation:** Look for continued bullish movement in the following candles to confirm the reversal.
2. **Bearish engulfing:**
    - **Location:** Appears at the top of an uptrend.
    - **First candle:** A small bullish candle with a short real body.
    - **Second candle:** A larger bearish candle that completely engulfs the body of the first bullish candle.
    - **Confirmation:** Look for continued bearish movement in the following candles to confirm the reversal.

- **Trend context:** The bullish engulfing pattern forms at the bottom of a downtrend, signaling a bullish reversal, while the bearish engulfing pattern forms at the top of an uptrend, signaling a bearish reversal.
- **Candle characteristics:** In the bullish engulfing pattern, the second candle is bullish and engulfs the prior bearish candle, whereas in the bearish engulfing pattern, the second candle is bearish and engulfs the prior bullish candle.
- **Market implications:** The bullish engulfing pattern reflects the transition from seller dominance to buyer control, while the bearish engulfing pattern indicates that sellers have overtaken buyers, signaling potential downward movement.

Figure 4.2.9 displays the price movement of Caterpillar Inc. (CAT), with a **bullish engulfing** pattern highlighted in the rectangular box. The bullish engulfing pattern is a powerful reversal pattern that occurs at the bottom of a downtrend, signaling that buying momentum is starting to build, and a potential reversal to the upside may follow.

FIGURE 4.2.9 **Bullish engulfing pattern begins an uptrend**

- ***Structure***: *The bullish engulfing pattern consists of two candles. The first is a small bearish candle (indicating selling pressure), followed by a large bullish candle that completely engulfs the body of the previous candle. This structure demonstrates that buyers have overwhelmed sellers and are starting to take control of the market.*
- ***Location and significance***: *The bullish engulfing pattern forms at the end of a downtrend, which is critical for its significance as a bullish reversal signal. The large bullish candle shows that buyers are entering the market with strength, signaling a potential trend reversal.*
- ***Confirmation***: *While the pattern itself is a strong signal of a reversal, traders typically look for further confirmation in the form of subsequent bullish candles that close higher to validate the signal.*

In this case, the bullish engulfing pattern suggests that the downtrend in Caterpillar's price has reached exhaustion, and the buyers are gaining control, making it likely that a bullish

Figure 4.2.10 displays the price movement of Bajaj Finance Ltd. (BAJFINANCE), with a **bearish engulfing** pattern highlighted in the rectangular box. The bearish engulfing pattern is a strong reversal pattern that appears at the top of an uptrend, signaling that selling pressure is gaining strength and a potential reversal to the downside may follow.

FIGURE 4.2.10 **Bearish engulfing begins a downtrend**

- ***Structure***: *The bearish engulfing pattern consists of two candles. The first candle is a small bullish candle, indicating continued buying pressure. The second candle is a large bearish candle that completely engulfs the body of the previous bullish candle. This structure signifies that sellers have overwhelmed buyers and taken control of the market.*
- ***Location and significance***: *The bearish engulfing pattern forms at the end of an uptrend, which is critical for its relevance as a bearish reversal signal. The large bearish candle shows that sellers have entered the market with force, indicating a potential trend reversal.*
- ***Confirmation***: *Although the bearish engulfing pattern is a strong signal on its own, traders usually seek confirmation from subsequent candles. A further bearish close following this pattern adds confidence to the potential reversal.*

In this case, the bearish engulfing pattern at the top of the uptrend suggests that the bullish momentum in Bajaj Finance's price is weakening, and the sellers are starting to dominate, making it likely that a bearish reversal will follow. This pattern indicates a shift in market sentiment from bullish to bearish.

Significance and Characteristics of Engulfing Patterns

- **Bullish engulfing:**
  - **Significance:** Indicates a strong shift from bearish to bullish sentiment, suggesting that buyers have overwhelmed sellers and a reversal to the upside is likely.
  - **Key characteristics:** Forms at the end of a downtrend, large bullish second candle that engulfs the smaller bearish first candle.
- **Bearish engulfing:**
  - **Significance:** Reflects a transition from bullish to bearish sentiment, signaling that

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- **Key characteristics:** Forms at the end of an uptrend, large bearish second candle that engulfs the smaller bullish first candle.

Psychology Behind Bullish and Bearish Engulfing Patterns

- **Bullish engulfing:** In a downtrend, the bullish engulfing pattern shows that after a period of selling pressure, buyers have stepped in with enough force to push the price higher. The small bearish candle reflects the continuation of selling, but the larger bullish candle shows that buyers decisively outnumbered sellers, resulting in a potential reversal. This pattern signals growing confidence among buyers, who have absorbed the selling pressure and are now driving prices higher.
- **Bearish engulfing:** At the peak of an uptrend, the bearish engulfing pattern demonstrates that after a period of bullish momentum, sellers have taken control. The small bullish candle reflects ongoing buying, but the larger bearish candle reveals that sellers have entered the market with strength, driving prices lower. This shift in sentiment signals that the bullish momentum is weakening, and a potential reversal to the downside could be imminent.

Both patterns provide a visual representation of a shift in market power, where one side (buyers or sellers) takes over, indicating that the previous trend is losing strength.

General Behavior of Volume During the Formation of Bullish Engulfing and Bearish Engulfing Patterns

Volume provides key insight into the market dynamics during the formation of both bullish and bearish engulfing patterns. Here's how volume typically behaves during each pattern:

1. **Bullish engulfing pattern:**
   - **During the first candle (bearish):** The first candle in a bullish engulfing pattern is usually a smaller bearish candle. Volume may decrease or remain steady during this candle as the sellers dominate but the momentum begins to weaken, signaling the potential end of the downtrend.
   - **During the second candle (bullish):** The second candle, which engulfs the first, is a larger bullish candle that reflects a strong shift in sentiment from sellers to buyers. Typically, volume increases significantly during this second candle as buyers aggressively enter the market, overpowering the selling pressure. This surge in volume indicates strong conviction behind the reversal and is a key factor in confirming the pattern.
2. **Bearish engulfing pattern:**
   - **During the first candle (bullish):** In a bearish engulfing pattern, the first candle is a smaller bullish candle, which may form on relatively low or steady volume. This suggests that the buying momentum is starting to fade, especially if the uptrend has been extended.
   - **During the second candle (bearish):** The second, larger bearish candle engulfs the first

are taking control from buyers. The increase in volume during the bearish candle confirms that the market is reversing and adds reliability to the pattern.

General Volume Behavior Summary:

- **Bullish engulfing:** Volume often increases significantly during the second bullish candle, signaling strong buyer participation and a more reliable reversal.
- **Bearish engulfing:** Volume typically spikes during the second bearish candle, reflecting strong selling pressure and confirming the potential bearish reversal.

In both patterns, a notable increase in volume during the second candle is critical for confirming the strength of the reversal. Without this volume surge, the engulfing pattern may not be as reliable.

Bullish Harami and Bearish Harami Patterns

The bullish harami and bearish harami are two-candle reversal patterns that occur during trends, signaling potential shifts in market momentum. The term "harami," which means "pregnant" in Japanese, describes the visual appearance of the pattern, where the second candle is smaller and fits within the range of the first, larger candle, much like a baby being held within the mother's womb. Both patterns are considered to be less aggressive reversal signals compared to patterns like engulfing or evening star, but they still provide useful insights into changes in market sentiment. The bullish harami suggests a potential reversal from a downtrend to an uptrend, while the bearish harami signals a possible reversal from an uptrend to a downtrend.

Although similar in structure, these two patterns represent opposite market scenarios. The bullish harami forms during a downtrend and indicates that selling pressure may be weakening, allowing buyers to take control. On the other hand, the bearish harami appears in an uptrend and suggests that buying momentum is losing strength, with sellers potentially stepping in to push prices lower. These patterns are typically confirmed with additional price action, as their reversal signals are relatively conservative.

How to Identify Bullish Harami and Bearish Harami Patterns

1. **Bullish harami:**
   - **Location:** Forms during a downtrend.
   - **First candle:** A long bearish candle, representing strong selling pressure.
   - **Second candle:** A small bullish or bearish candle that is fully contained within the body of the first candle, indicating indecision or a slowdown in the selling momentum.
   - **Confirmation:** A bullish candle following the harami pattern confirms the potential reversal.

- **First candle:** A long bullish candle, reflecting strong buying pressure.
- **Second candle:** A small bearish or bullish candle that forms within the range of the first candle, signaling a potential weakening of the uptrend.
- **Confirmation:** A bearish candle after the harami pattern provides confirmation of the reversal.

Differences Between Bullish Harami and Bearish Harami Patterns

- **Trend context:** The bullish harami occurs in a downtrend and suggests a reversal to the upside, while the bearish harami occurs in an uptrend and signals a potential reversal to the downside.
- **First candle:** In the bullish harami, the first candle is bearish and long, representing strong selling pressure. In the bearish harami, the first candle is bullish and long, indicating strong buying pressure.
- **Second candle:** The second candle in both patterns is small and represents market indecision. In the bullish harami, the second candle is usually bullish, while in the bearish harami, the second candle is typically bearish.

Significance and Characteristics of Bullish and Bearish Harami Patterns

- **Bullish harami:**
  - **Significance:** Signals that selling pressure is weakening, and buyers may be stepping in to reverse the trend.
  - **Key characteristics:** Forms in a downtrend with a small second candle entirely contained within the body of the first bearish candle.
- **Bearish harami:**
  - **Significance:** Suggests that buying momentum is slowing, and sellers may be preparing to take control of the market.
  - **Key characteristics:** Forms in an uptrend with a small second candle contained within the body of the first bullish candle.

Figure 4.2.11 displays the price movement of Fortis Healthcare Ltd. (FORTIS), with multiple **bullish harami** patterns highlighted in the rectangular boxes. The bullish harami is a two-candle reversal pattern that appears during a downtrend, signaling that selling pressure may be diminishing and a potential bullish reversal could follow.

FIGURE 4.2.11 **Bullish harami pattern beginning a new uptrend**

- ***Structure:*** *The bullish harami consists of a large bearish candle, followed by a smaller bullish candle that fits entirely within the body of the previous bearish candle. The smaller second candle reflects a reduction in selling pressure, as the bears could not push the price further down, signaling potential buying interest.*
- ***Location and significance:*** *The bullish harami pattern forms in a downtrend, indicating indecision and a possible shift in market sentiment. When this pattern appears, it suggests that the bearish momentum may be weakening and buyers could be stepping in to reverse the trend.*
- ***Confirmation:*** *While the bullish harami suggests a potential reversal, confirmation from subsequent candles is important. Ideally, the next candle should close higher, further confirming the bullish sentiment and validating the reversal signal.*

In this case, the bullish harami patterns at various points in the downtrend signal the exhaustion of selling pressure, with the likelihood of a reversal to the upside. These patterns reflect a shift in market sentiment, where the buyers are beginning to overpower the sellers, leading to a bullish reversal.

Figure 4.2.12 displays the price movement of Cadence Design Systems, Inc. (CDNS), with a **bearish harami** pattern highlighted in the rectangular box. The bearish harami is a two-candle reversal pattern that forms at the top of an uptrend, signaling that bullish momentum is weakening and a potential bearish reversal may follow.

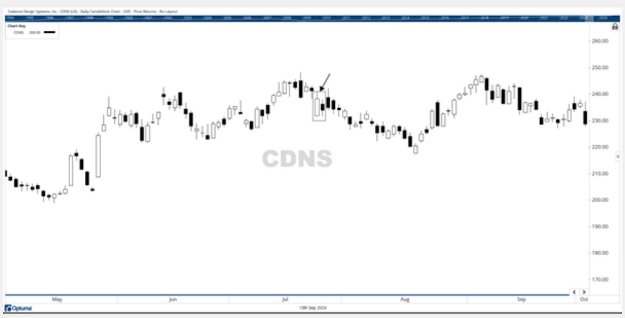

FIGURE 4.2.12 **Bearish harami pattern beginning a downtrend**

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bullish candle. This structure indicates that buying pressure has significantly reduced, and the sellers are beginning to take control, albeit cautiously.

- ***Location and significance:*** *The bearish harami pattern typically appears after a prolonged uptrend and signals indecision or exhaustion in the buying momentum. It suggests that the uptrend may be nearing an end, with selling pressure increasing.*
- ***Confirmation:*** *The bearish harami alone does not confirm a trend reversal, so traders look for confirmation from subsequent candles. A bearish close after the pattern adds weight to the bearish sentiment and confirms the potential for a downward trend.*

In this case, the bearish harami pattern indicates a loss of upward momentum for Cadence Design Systems. It signals that buyers are losing control, and sellers are stepping in, making a potential bearish reversal more likely.

Psychology Behind Bullish Harami and Bearish Harami Patterns

- **Bullish harami:** The long bearish candle in the bullish harami reflects strong selling pressure in the market, driving prices lower during a downtrend. However, the small second candle, often bullish, indicates that sellers may be losing control and that buying pressure is starting to emerge. This change in momentum suggests that market sentiment may be shifting from bearish to bullish, and traders may begin to see the downtrend weakening. The pattern reflects a period of indecision, where the sellers' dominance is being challenged by buyers, signaling a potential reversal.
- **Bearish harami:** In the bearish harami, the first long bullish candle reflects strong buying momentum during an uptrend. The small second candle, which is often bearish, shows that buying pressure is starting to fade, and sellers may be preparing to step in. This pattern indicates that market sentiment may be shifting from bullish to bearish, as buyers struggle to maintain upward momentum. The bearish harami represents a period of indecision, where the strength of the buyers is being questioned, leading to a potential reversal of the uptrend.

> Note that harami patterns are the exact opposite of engulfing patterns. In case of engulfing patterns, it is the second or the subsequent candle that engulfs the first candle. In the case of harami patterns, it is the first candle that engulfs the subsequent candle. The body of the second candle is within the body of the first candle.

Both the bullish and bearish harami patterns reflect moments of indecision and potential trend exhaustion, making them useful indicators of possible market reversals when confirmed by subsequent price action.

Piercing Line and Dark Cloud Cover Candles

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piercing line pattern is a bullish reversal signal that appears after a downtrend, while the dark cloud cover is a bearish reversal signal that forms after an uptrend. Both patterns highlight a battle between buyers and sellers, where the second candle significantly changes the direction of price action from the previous candle. These patterns are considered reliable indicators of potential trend reversals, especially when they occur at key support or resistance levels.

Despite their similarities, these patterns have opposing implications. The piercing line suggests that buyers are gaining strength after a period of selling pressure, signaling the potential for upward movement. In contrast, the dark cloud cover indicates that sellers are beginning to overwhelm buyers after an uptrend, warning of a potential downward reversal. Both patterns serve as early warning signs for traders to reassess their positions, as they indicate a change in market control.

How to Identify Piercing Line and Dark Cloud Cover Patterns

1. **Piercing line:**
    - **Location:** Appears at the bottom of a downtrend.
    - **First candle:** A long bearish candle.
    - **Second candle:** A bullish candle that opens below the low of the first candle and closes above the midpoint of the first candle's real body.
    - **Confirmation:** Look for continued upward movement in the following candles to confirm the reversal.
2. **Dark cloud cover:**
    - **Location:** Appears at the top of an uptrend.
    - **First candle:** A long bullish candle.
    - **Second candle:** A bearish candle that opens above the high of the first candle and closes below the midpoint of the first candle's real body.
    - **Confirmation:** Continued bearish movement in subsequent candles confirms the reversal.

Differences Between Piercing Line and Dark Cloud Cover Patterns

- **Trend context:** The piercing line pattern forms after a downtrend, signaling a bullish reversal, whereas the dark cloud cover forms after an uptrend, indicating a bearish reversal.
- **Candle characteristics:** In the piercing line, the second bullish candle opens below the first bearish candle's low but closes above its midpoint. In the dark cloud cover, the second bearish candle opens above the first bullish candle's high but closes below its midpoint.
- **Market sentiment:** The piercing line reflects the shift from bearish to bullish sentiment, while the

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Significance and Characteristics of Piercing Line and Dark Cloud Cover Patterns

- **Piercing line:**
  - **Significance:** Signals that buyers are stepping in after a period of selling, suggesting that the downtrend may be losing strength and a bullish reversal is likely.
  - **Key characteristics:** Forms at the bottom of a downtrend, the second bullish candle opens lower but closes above the midpoint of the first bearish candle.
- **Dark cloud cover:**
  - **Significance:** Indicates that sellers are entering the market after an uptrend, signaling that the bullish momentum is weakening, and a bearish reversal could be imminent.
  - **Key characteristics:** Forms at the top of an uptrend, the second bearish candle opens higher but closes below the midpoint of the first bullish candle.

Figure 4.2.13 shows the daily price movement of Bharat Petroleum Corp. Ltd. (BPCL), highlighting a **piercing line** pattern within the rectangular box. The piercing line is a bullish reversal pattern that typically forms after a downtrend, signaling a potential shift from bearish to bullish sentiment.

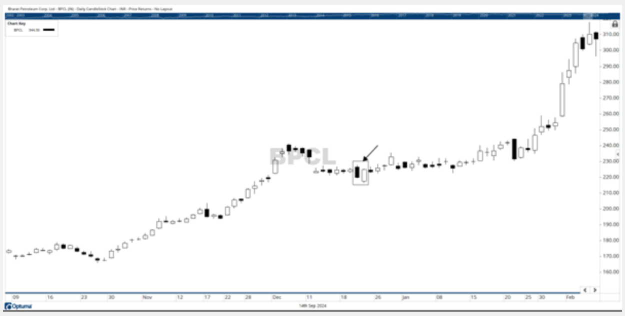

FIGURE 4.2.13 **Piercing line pattern begins an uptrend**

- ***Structure:*** *This pattern consists of two candles. The first is a long bearish (black) candle, followed by a bullish (white) candle that opens below the low of the previous candle but closes above the midpoint of the bearish candle. The strong recovery seen in the second candle suggests a shift in market sentiment from sellers to buyers.*
- ***Significance:*** *The piercing line pattern indicates that the downward momentum is losing strength and buyers are stepping in to push prices higher. It marks a potential turning point in the trend, providing a signal that the market may reverse and head higher.*
- ***Confirmation:*** *Traders often look for confirmation of the reversal with a third candle, which should ideally be bullish to validate the change in trend.*

shift toward a bullish move for BPCL.

Figure 4.2.14 illustrates the daily price movement of Charles Schwab Corp. (SCHW), with a **dark cloud cover** pattern highlighted within the rectangular box. The dark cloud cover is a bearish reversal pattern that typically forms after an uptrend, signaling a potential shift from bullish to bearish sentiment.

FIGURE 4.2.14 **Dark cloud cover pattern begins a downtrend**

- ***Structure***: *This pattern consists of two candles. The first is a long bullish (white) candle, followed by a bearish (black) candle that opens above the high of the previous candle but closes well into the body of the bullish candle, typically beyond its midpoint. This formation indicates that the bulls were initially in control but were overpowered by bears during the session.*
- ***Significance***: *The dark cloud cover suggests that the upward momentum is losing strength, and sellers are starting to dominate, potentially signaling a trend reversal to the downside. Traders often use this as a sign of caution and may adjust their positions accordingly.*
- ***Confirmation***: *Confirmation of the bearish sentiment comes with a third candle that should ideally be bearish to validate the reversal pattern.*

In this case, the dark cloud cover pattern suggests a weakening of the prior uptrend, indicating potential downward pressure on SCHW prices in the near term.

Psychology Behind Piercing Line and Dark Cloud Cover Patterns

- **Piercing line:** In a downtrend, the piercing line pattern reflects a shift in market sentiment as buyers gain strength after a period of consistent selling. The first candle represents strong selling pressure, but the second bullish candle shows that buyers have taken control, pushing the price higher and closing above the midpoint of the first candle. This shift in sentiment signals that buyers are stepping in and that the selling pressure may be fading, potentially leading to a bullish reversal.
- **Dark cloud cover:** In an uptrend, the dark cloud cover pattern highlights a shift in sentiment as sellers overpower buyers. The first bullish candle reflects ongoing buying, but the second bearish candle shows that sellers have entered the market with force, driving

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bearish reversal.

Both patterns provide a clear visual representation of a shift in market control, making them valuable tools for traders looking to identify early signs of potential trend reversals.

Influence of Volume on Piercing Line and Dark Cloud Cover Patterns

Volume plays a crucial role in determining the strength and reliability of the piercing line and dark cloud cover patterns, as it reflects the level of participation by buyers and sellers during the potential reversal. Here's how volume affects these patterns:

1. **Piercing line:**
   - **High volume:** When a piercing line pattern forms with high volume, it indicates strong buying interest. This suggests that the reversal from a downtrend to an uptrend is likely to be sustained, as significant buying pressure is driving prices higher. High volume confirms that buyers are overpowering sellers, making the bullish reversal more reliable.
   - **Low volume:** If the piercing line forms with low volume, the reversal may be weak. The lack of substantial buying participation implies that the bullish sentiment might not be strong enough to sustain the reversal, increasing the risk of a false signal or a continuation of the downtrend.
2. **Dark cloud cover:**
   - **High volume:** A dark cloud cover pattern with high volume signals strong selling pressure, confirming that the market is shifting from bullish to bearish sentiment. High volume during the bearish candle suggests that sellers are decisively overpowering buyers, making the potential downtrend more reliable and sustainable.
   - **Low volume:** When the dark cloud cover forms with low volume, it suggests weak selling pressure. In this case, the bearish reversal signal is less reliable, as the lack of strong seller participation indicates that the reversal might not be sustained, and the uptrend could resume.

Key Takeaways:

- **High volume** confirms the strength of the reversal in both piercing line and dark cloud cover patterns, making them more reliable indicators of trend changes.
- **Low volume** weakens the significance of the patterns, raising the likelihood of a false or incomplete reversal, and suggesting that the prevailing trend might continue.

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Three or More Candle Patterns in Candlestick Charting

Three-candle patterns in candlestick charting offer deeper insights into market sentiment and often provide stronger confirmation of potential reversals or continuations compared to single- or two-candle patterns. These formations consist of three consecutive candlesticks that, together, depict a comprehensive picture of market behavior, reflecting a more prolonged shift in momentum. Common three-candle patterns include the morning star, evening star, and three white soldiers, each of which offers distinct signals for traders regarding potential market changes.

Morning Star and Evening Star Candles

The morning star and evening star are powerful three-candle reversal patterns that signal potential shifts in market direction. The morning star appears at the bottom of a downtrend and indicates a bullish reversal, while the evening star forms at the top of an uptrend and signals a bearish reversal. Both patterns consist of three distinct candles, each representing a key phase in the shift from one market sentiment to another. These patterns are highly regarded by traders because they offer a clear visual of the transition from one dominant force to another, providing strong confirmation of trend exhaustion.

Despite their similar structure, the morning star and evening star have opposite implications. The morning star marks the end of selling pressure, showing that buyers are beginning to regain control after a prolonged downtrend. Conversely, the evening star indicates that buyers have lost momentum, and sellers are stepping in to dominate after an extended uptrend. Both patterns provide clear signals of potential trend reversals and are particularly effective when they occur at key support or resistance levels.

How to Identify Morning Star and Evening Star Patterns

1. **Morning star:**
    - **Location:** Appears at the bottom of a downtrend.
    - **First candle:** A long bearish candle, indicating strong selling pressure.
    - **Second candle:** A small-bodied candle (either bullish or bearish) that represents indecision in the market. This candle often has small shadows, signaling a pause in the downtrend.

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- **Confirmation:** Look for continued bullish movement in subsequent candles to confirm the reversal.

2. **Evening star:**
   - **Location:** Appears at the top of an uptrend.
   - **First candle:** A long bullish candle, reflecting strong buying momentum.
   - **Second candle:** A small-bodied candle (either bullish or bearish) that indicates market indecision or a loss of upward momentum.
   - **Third candle:** A long bearish candle that closes below the midpoint of the first candle, confirming the shift to the downside.
   - **Confirmation:** A continuation of bearish price action in the next few candles strengthens the reversal signal.

Differences Between Morning Star and Evening Star Patterns

- **Trend context:** The morning star forms after a downtrend and signals a bullish reversal, while the evening star forms after an uptrend and signals a bearish reversal.
- **Candle characteristics:** In the morning star, the pattern begins with a long bearish candle, followed by indecision, and ends with a strong bullish candle. In the evening star, the pattern starts with a long bullish candle, followed by indecision, and concludes with a strong bearish candle.
- **Market implications:** The morning star represents a transition from seller dominance to buyer control, while the evening star signals that buyers have lost control and sellers are taking over.

Significance and Characteristics of Morning Star and Evening Star Patterns

- **Morning star:**
  - **Significance:** Indicates a bullish reversal, where selling pressure has weakened, and buyers are stepping in to drive the price higher.
  - **Key characteristics:** Forms at the bottom of a downtrend, consisting of a bearish candle, an indecisive second candle, and a bullish candle that closes above the midpoint of the first.
- **Evening star:**
  - **Significance:** Signals a bearish reversal, where the upward momentum has faded, and sellers are gaining control, pushing the price lower.

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bearish candle that closes below the midpoint of the first.

Figure 4.2.15 depicts the daily price movement of Best Buy Co. Inc. (BBY), with the **morning star** pattern highlighted in the rectangular box. A morning star is a bullish reversal pattern that typically forms at the end of a downtrend, indicating that the bears are losing control and the bulls are ready to take over.

FIGURE 4.2.15 **Morning star pattern**

- ***Structure***: *The pattern consists of three candles:*
  1. *A long bearish (black) candle, representing continued selling pressure.*
  2. *A small-bodied candle (which can be bullish or bearish), reflecting indecision in the market.*
  3. *A long bullish (white) candle that confirms the reversal by closing well into the body of the first bearish candle.*
- ***Significance***: *The morning star signals a potential reversal of the prior downtrend. The indecision shown in the second candle represents a shift in sentiment, followed by the third bullish candle, confirming that buyers have regained control.*
- ***Confirmation***: *This pattern becomes more reliable if the third candle closes above the midpoint of the first candle. Volume increases on the third candle would add further strength to the pattern, confirming the reversal.*

In this chart, the morning star indicates that the downward momentum has halted, and there may be a potential upward move in the near future.

Figure 4.2.16 displays the daily price movement of Marico Ltd. (MARICO), with the **evening star** pattern highlighted in the rectangle. An evening star is a bearish reversal pattern that typically forms after an uptrend, signaling a potential shift from bullish to bearish market sentiment.

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FIGURE 4.2.16 **Evening star pattern**

- ***Structure***: *The evening star pattern consists of three candles:*
    1. *A large bullish (white) candle, reflecting strong buying momentum.*
    2. *A small-bodied candle (which can be bullish, bearish, or neutral), showing indecision or a slowdown in the previous trend.*
    3. *A large bearish (black) candle that opens below the body of the second candle and closes deeply into the first bullish candle's body, confirming the bearish reversal.*
- ***Significance***: *This pattern indicates that the upward momentum has likely peaked, and sellers are gaining control. The small second candle (a sign of indecision) hints that the market may be running out of steam, which is then confirmed by the third bearish candle.*
- ***Confirmation***: *The pattern's strength increases if the third candle closes below the midpoint of the first candle. High volume on the bearish candle adds further reliability to this pattern, signaling a stronger shift in market sentiment.*

In this example, the evening star suggests that the preceding uptrend may be nearing its end, with potential downward price movement ahead.

Psychology Behind Morning Star and Evening Star Patterns

- **Morning star:** The first bearish candle in the morning star reflects strong selling pressure in a downtrend, suggesting that sellers are still in control. However, the second small-bodied candle reveals indecision, indicating that the selling momentum is losing steam. The third bullish candle shows that buyers have regained confidence, pushing prices higher and signaling the start of a new uptrend. The morning star pattern demonstrates a clear shift in market sentiment from bearish to bullish as buyers overpower the sellers.
- **Evening star:** The first bullish candle in the evening star represents strong buying pressure, suggesting that the uptrend is intact. However, the second small-bodied candle reflects hesitation among buyers, signaling that the upward momentum is weakening. The third bearish candle confirms that sellers have taken control, driving prices lower and indicating a potential reversal to the downside. The evening star highlights the exhaustion of bullish momentum and the rise of selling pressure.

Both patterns reveal a significant shift in market psychology, where one side loses strength and the other takes control,

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Influence of Volume on Morning Star and Evening Star Patterns

Volume plays a significant role in validating the morning star and evening star candlestick patterns, as it provides insight into the strength and reliability of the potential reversal. Here's how volume affects these patterns:

1. **Morning star:**
   - **High volume:** When a morning star pattern forms with high volume, it indicates that the buying pressure behind the bullish reversal is strong and widespread. This adds credibility to the reversal signal, as a large number of market participants are involved in the transition from a downtrend to an uptrend.
   - **Low volume:** If the morning star forms with low volume, it weakens the reversal signal. Low participation from buyers suggests that the bullish reversal may lack the strength to sustain the upward movement, increasing the likelihood of a false signal or a weaker trend continuation.
2. **Evening star:**
   - **High volume:** A high-volume evening star pattern signals strong selling pressure during the bearish reversal. This confirms that sellers are stepping in with force, making the bearish reversal more reliable and increasing the chances of a sustained downtrend.
   - **Low volume:** When an evening star forms with low volume, it may indicate that the selling pressure is not strong enough to trigger a full reversal. The lack of participation from sellers weakens the signal, meaning the uptrend could resume or the reversal may be shallow.

Key Takeaways:

- **High volume** confirms the strength of the reversal in both morning star and evening star patterns, making them more reliable.
- **Low volume** weakens the significance of the patterns, raising the possibility of a false or incomplete reversal.

Three White Soldiers and Three Black Crows

The three white soldiers pattern is a strong bullish reversal pattern that forms after a downtrend and consists of three consecutive long bullish candles, opening within or near the prior session's white real body, and each candle closing at, or near, its highs, signaling strong buying momentum. The three white soldiers pattern is significant because it reflects a shift in sentiment from bearish to bullish, with buyers progressively gaining strength and pushing prices higher.

Figure 4.2.17 displays the daily price movement of Bath & Body Works, Inc. (BBWI), highlighting a **three white soldiers** pattern in the rectangle. This pattern is a bullish reversal pattern that

FIGURE 4.2.17 Three white soldiers pattern

- ***Structure**: The three white soldiers pattern consists of three consecutive long-bodied bullish (white) candles. Each candle opens higher than the previous one's open, closes near its high showing little to no lower shadow, and closes within the body of the previous candle.*
  1. ***First candle**: Indicates a reversal or a strong bullish push from prior bearish conditions.*
  2. ***Second candle**: Confirms the bullish strength with a higher close and minimal selling pressure.*
  3. ***Third candle**: Further validates the upward movement, signaling sustained buying interest and strong bullish sentiment.*
- ***Significance**: This pattern is a powerful indicator of market strength, showing that bulls are in control. The absence of significant lower shadows reflects that buyers are steadily pushing prices higher without giving sellers a chance to pull the price back down.*
- ***Confirmation**: The strength of this pattern is increased when accompanied by high trading volumes, indicating strong market participation. It also helps to confirm a shift from a prior bearish or neutral trend into a more bullish phase, often signaling a strong entry opportunity for traders.*

In this chart, the three white soldiers pattern suggests that Bath & Body Works Inc. is likely transitioning into a bullish trend, with potential for further upward price movement.

This pattern is considered highly reliable in signaling a bullish reversal, especially when it appears near key support levels or after a prolonged downtrend. The increasing size of each candle's body demonstrates growing confidence among buyers, signaling that the downtrend is over and a new uptrend may be underway. However, traders should be cautious of overextended markets or patterns that occur after a strong bullish move, as these could be subject to a potential pullback.

The three black crows pattern is the bearish counterpart to the three white soldiers, signaling a potential reversal from an uptrend to a downtrend. This pattern consists of three consecutive long bearish candles, opening within or near the prior session's real body, and each candle closing at, or near, its lows. The three black crows pattern indicates that sellers are gaining control of the market after an extended period of buying pressure. Like its bullish counterpart, this pattern is a strong indication that the prevailing trend is reversing.

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pattern as the three rightmost candles on the chart. This pattern is a bearish reversal formation that occurs after an uptrend, or at potential resistance, and signals a potential shift in market sentiment from bullish to bearish.

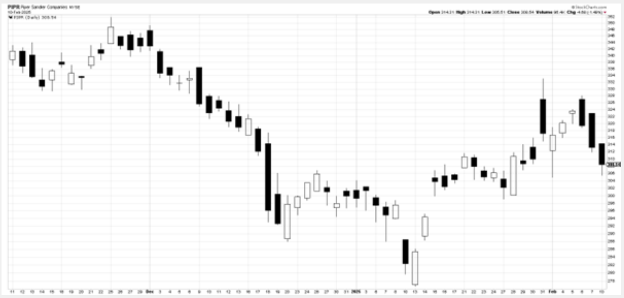

FIGURE 4.2.18 Three black crows pattern

- ***Structure:*** *The three black crows pattern consists of three consecutive long-bodied bearish (black) candles. Each candle opens within the previous candle's body and closes lower, suggesting that selling pressure is consistently overwhelming buyers.*
    1. ***First candle:*** *Indicates the initial bearish reversal after a prior uptrend.*
    2. ***Second candle:*** *Confirms the bearish sentiment as the downward movement continues with minimal buying interest.*
    3. ***Third candle:*** *Further validates the strength of the bearish trend, implying that the selling pressure is likely to continue.*
- ***Significance:*** *This pattern signals strong bearish control over the market, suggesting that sellers are dominating and pushing the price lower. It serves as a warning for traders that a trend reversal may be underway, and it could prompt a shift from bullish to bearish trading strategies.*
- ***Confirmation:*** *The pattern's reliability increases if it is accompanied by high volume, indicating strong market participation. The three black crows pattern suggests that the recent upward trend might have peaked, and a bearish trend may follow, which is crucial for market participants looking to manage risk or enter short positions.*

In this chart, the appearance of the three black crows pattern indicates a potential reversal in the previous uptrend, signaling bearish momentum in the near term for PIPR.

The three black crows pattern is significant because it demonstrates a steady and controlled decline in price, suggesting that sellers are overwhelming buyers. When this pattern appears after an uptrend or at key resistance levels, it serves as a clear signal that the bullish momentum is weakening, and a downtrend may be starting. Traders should look for confirmation from additional bearish price action or technical indicators to validate the strength of this reversal.

Psychology Behind Reversal and Continuation Patterns

patterns, such as the three white soldiers or three black crows, the gradual but sustained increase (or decrease) in price reflects a growing imbalance between the two sides. For example, in the three white soldiers, each successive bullish candle demonstrates that buyers are steadily gaining confidence, leading to the formation of a new uptrend. Conversely, in the three black crows, each bearish candle represents an increasing dominance by sellers, signaling the end of an uptrend and the start of a bearish phase.

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Candlestick Continuation Patterns

Candlestick patterns are widely recognized for their ability to signal potential reversals in market trends. Reversal patterns occur when the market shifts from one prevailing trend — either bullish or bearish — to the opposite direction. Candlestick formations, such as dojis, engulfing patterns, morning stars, and evening stars, are classic examples of reversal signals. These patterns indicate moments of market indecision, where buyers or sellers temporarily lose control, leading to a change in momentum. Most of the time, these patterns are used by traders to anticipate potential turning points in the market, allowing them to either exit positions or initiate trades in the opposite direction.

The psychological basis behind reversal patterns lies in the change in market sentiment. For instance, in a bullish reversal, a candlestick pattern such as a bullish engulfing or hammer shows that buyers are beginning to take over after an extended period of selling pressure. Conversely, a bearish reversal, signaled by a pattern like the bearish engulfing or hanging man, demonstrates that sellers are gaining control after an uptrend. Reversal patterns are particularly valuable when they occur at key support or resistance levels, as these zones are natural places for trends to reverse.

While candlestick patterns are most commonly associated with reversal signals, there are also continuation patterns that indicate the market is likely to resume its current trend after a period of consolidation.

Rising Three Methods and Falling Three Methods

The rising three methods is a bullish continuation pattern that typically appears in an ongoing uptrend. It consists of five candles, but it involves three small bearish candles sandwiched between two strong bullish candles. The first candle is a long bullish candle, which reflects the strength of the uptrend. The next three candles are small-bodied bearish candles that drift lower, indicating a temporary retracement or consolidation. These three candles stay within the range of the first bullish candle. The final candle is another long bullish candle that closes above the high of the first candle, confirming that the uptrend is likely to resume.

Figure 4.2.19 shows a daily chart of Kroger Co. (KR).The candles highlighted within the rectangle form a **rising three methods** pattern. This bullish continuation pattern consists of a long bullish (white) candle followed by a series of small bearish (black) candles, each of which stays within the range of the first bullish candle. The pattern concludes with another strong retracement, and the uptrend is likely to continue.

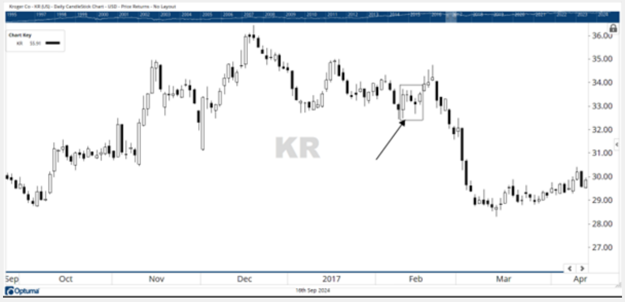

FIGURE 4.2.19 Failed rising three methods pattern

- **Significance:** This pattern indicates a brief period of profit-taking or minor selling pressure, but the dominant bullish trend is intact and expected to continue.
- **Psychology:** Sellers may temporarily gain control, but buyers quickly step back in, confirming their dominance in the market.

Falling Three Methods

The falling three methods is the bearish counterpart to the rising three methods and appears during a downtrend. It consists of five candles: a long bearish candle followed by three small bullish candles that show a temporary upward retracement, and then another long bearish candle that confirms the continuation of the downtrend. The three small bullish candles remain within the range of the first bearish candle, indicating that the selling pressure is still strong. The final bearish candle breaks below the low of the first candle, signaling that the downtrend is likely to continue.

- **Significance:** This pattern suggests a temporary pause in the downtrend as buyers attempt to push prices higher, but the overall bearish momentum is still intact.
- **Psychology:** Buyers briefly gain control during the small retracement, but sellers ultimately regain dominance, pushing prices lower and continuing the downward trend.

Figure 4.2.20 is a chart of 3M Co. (MMM). The candles within the rectangle display a **falling three methods** pattern. This pattern typically consists of a strong directional move followed by a series of smaller counter-move candles (in this case, small bullish candles within a downtrend). The counter-move candles fail to break above the prior trend's high, indicating that bulls are not strong enough to reverse the downtrend. The final confirmation is the continuation of the downward movement after the small bullish candles, leading to further declines. This pattern signifies a continuation of the bearish trend after a brief pause.

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FIGURE 4.2.20 **Falling three methods pattern**

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